Indian Sugar and Bio-energy Manufacturers Association (ISMA) initially estimated net sugar production to be 30.9 MT after allowing for 3.4 MT of sugar equivalent to be diverted to ethanol. The balance sheet seemed to leave room for exports and a closing cushion. On that assessment, the Centre authorised exports of 1.5 MT for 2025-26 and later sought willingness for an additional 0.5 MT.

But the crop changed. Heavy rain in Maharashtra and Karnataka late in 2025 waterlogged fields, delayed harvesting and damaged ratoon cane, the shoots that grow from the stubble of a harvested crop. The red rot fungus hit crops in UP. By August, the government's estimate had fallen to 30.6 MT from 34.3 MT.

DELAYED DECISIONS

Yet policy adjusted in stages. Exports were stopped only in May; by then, 600,000 tonnes had left Indian ports. The quota had been granted against a balance sheet that no longer held. Weaker production had skewed the numbers. Into this wavering graph, ethanol has come in as the new bone of contention. The Opposition blames that diversion for the price rise. Some UP traders claim cane equivalent to 2-3 MT of sugar went that way. Agricultural economist Ashok Gulati, too, gives ethanol a larger place in the explanation, while also pointing to lower production and depleted stocks. The numbers, however, do not entirely support such a thesis.

Former NITI Aayog member and ICRIER professor Ramesh Chand says the share of cane diverted to ethanol has, in fact, declined from 11.5 per cent in 2022-23 and 11 per cent in 2024-25 to 9 per cent in 2025-26. In a shift that has not attracted commensurate attention, three-fourths of India's ethanol now comes from grain, especially maize. Diversion for ethanol had, thus, wedged itself into the sugar economy without causing much disruption. The actual problem was the lack of a sufficiently responsive mechanism to calculate the desirable quantums for exports, diversion, releases and imports on a live basis. Only such ongoing tracking can signal the need for revisions—and the amount of safety buffer required—to hedge against weather, disease and poor extraction.

REGULAR REVISIONS NEEDED

The spike in sugar prices, thus, owed to relying on what was strictly a provisional estimate. Once the balance was skewed, it created an opportunity for speculative stocking. The Centre's emergency measures finally helped frighten stock back into the market, and prices began to ease. But experts say the 1 MT duty-free import decision could have been taken earlier. This is a game that called for foresight, not afterthought.

The situation was compounded by the weak stock visibility. Mills report stocks and the Centre controls monthly releases, but delayed or inaccurate declarations impair both functions. Timing was also crucial. Export permission was granted when the balance looked comfortable; the tap was closed only after a substantial quantity had moved. Imports were authorised after domestic prices had begun to surge, even though imported raw sugar requires shipping and refining time. The other major problem is a longer-standing price mismatch. The sugar minimum selling price has remained Rs 31 a kg since February 2019 even as the FRP and state cane prices have risen.

Experts say that the government must learn lessons from its follies. They say that production should be estimated at the start of the season and revised on announced dates as acreage, weather, disease, crushing and recovery data become clearer. Each revision should recalculate opening stocks, expected production, consumption, ethanol diversion, domestic releases, exports or imports, and the closing buffer.

Others point out that stock reporting must become both transparent and enforceable. Mills, large dealers and institutional users should declare physical stocks in a common system, with risk-based inspections and proportionate penalties for false reporting. The purpose is not permanent raids or intimidation, but a credible market in which no participant gains from concealing inventory. Then, decisions on diversions to ethanol should be made from the same balance sheet. The food and petroleum ministries, oil marketing companies, mills, cooperative representatives and farmer organisations should agree on the expected allocation of cane and sugar equivalent at the beginning of the season and revisit it at each scheduled review. The crucial point is to act much before retail prices signal panic. ■

—with M.G. Arun, Dhaval S. Kulkarni and Ashish Misra

HOW TO PREVENT A PRICE SURGE

KEEP A ROLLING BALANCE SHEET: Revise production, stocks, consumption, ethanol diversion and export availability at fixed intervals instead of basing the entire season's policy on early forecast

MAKE STOCKS FULLY TRANSPARENT: Require mills, traders and bulk buyers to report inventories, backed by inspections and penalties for concealment/ hoarding

ACT BEFORE THE MARKET PANICS: Link exports, ethanol diversion, domestic releases and imports to a minimum closing-stock threshold so that corrective action begins before tight supplies drive up prices